

SchoolStack Budget

Board Financial Summary

Bright Horizons Microschool

5-Year Financial Overview for Board Review

Prepared March 25, 2026

 **Financial Outlook: The school's financial outlook is strong.**

7 health dimensions are in good standing.

In This Report

1. Financial Overview & Key Metrics
2. 5-Year Projection
3. What to Watch (Top Risks)
4. Cash & Runway Position
5. Scenario Comparison
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This summary is generated from the school's financial model for board discussion purposes.

Financial Outlook at a Glance

The school's financial outlook is strong. 7 health dimensions are in good standing.

 **Cash Position:** Cash remains positive through the full 5-year projection

Financial Overview

Bright Horizons Microschool projects \$392,673 in Year 5 revenue with a 61.1% profit margin. The model tells a strong financial story with 8 of 10 key metrics in healthy range, a great foundation for your mission. Cash flow remains positive over the full 5-year period.

- [~] Lender Readiness: Strong
- [~] Biggest Strength: Strong Year 5 profit
- [~] Biggest Risk: No major red flags detected, so continue refining assumptions as you gather real data.
- [~] Cash Runway: 60+ months

School Overview

Bright Horizons Microschool is a Startup / Pre-Opening Microschool organized as a LLC (Single Member) with a funding profile.

5-Year Financial Projection

The model reaches break-even in Year 1. Year 5 net income is projected at \$269K (68.4% margin).

- [+] Revenue per Student (Year 1): \$11,167
- [+] Staffing Cost (% of Revenue): 43.9%
- [~] Operating Cost (% of Revenue): 33.6%
- [+] Profit margin (Year 1): 22.5%
- [+] Profit margin (Year 5): 61.1%
- [+] 5-Year Revenue Growth: 134.4%

5-Year Net Income Projection

Year	Students	Revenue	Expenses	Net Income	Margin
Year 1	15	\$168K	\$109K	\$59K	34.9%
Year 2	22	\$223K	\$115K	\$108K	48.5%
Year 3	30	\$291K	\$118K	\$172K	59.2%
Year 4	35	\$337K	\$121K	\$216K	64.1%
Year 5	40	\$393K	\$124K	\$269K	68.4%

Financial Health Assessment

Across 7 health dimensions: 7 healthy, 0 on watch, 0 at risk.

- [+] viability: Healthy
- [+] liquidity: Healthy
- [+] staffing burden: Healthy
- [+] facility burden: Healthy
- [+] debt affordability: Healthy
- [+] revenue concentration: Healthy

Health Dimensions

Dimension	Status	Details
Viability	Healthy	The model reaches profit early and sustains strong margins through Year 5.
Liquidity	Healthy	Cash stays positive throughout the projection and reserves exceed 3 months of expenses.
Staffing Burden	Healthy	Staffing at 44% of revenue leaves room for facilities, programs, and reserves.
Facility Burden	Healthy	Facility costs at 15% of revenue are well-managed and leave budget for programs.
Debt Affordability	Healthy	DSCR of 3.12x provides comfortable coverage of debt payments with room to spare.
Revenue Concentration	Healthy	Revenue is anchored to enrollment-driven income — the strongest foundation for a school model. A focused revenue stream is a strength when backed by dependable demand.
Reserve Strength	Healthy	54.5 months of reserves by Year 5 — a strong buffer for unexpected costs.

Key Strengths

The model demonstrates 5 notable strengths.

- [+] Revenue per Student (Year 1): \$11,167
- [+] Staffing Cost (% of Revenue): 43.9%
- [+] Profit margin (Year 1): 22.5%
- [+] Profit margin (Year 5): 61.1%
- [+] 5-Year Revenue Growth: 134.4%
- [+] Capacity Utilization (Year 5): 100.0%

What to Watch

The board should be aware of 1 key area:

1. Enrollment growth needs demand evidence

Demand is the engine of your financial model. Every revenue line, staffing decision, and cost assumption depends on filling seats. If enrollment falls short, the entire model breaks downstream.
Action: Back every enrollment target with documented demand — signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion.

Recommended Next Steps

1. Build a Cash Reserve

Even with healthy projections, aim to build 3–6 months of operating expenses as a reserve fund. This gives you a safety net for unexpected expenses and keeps your school financially resilient.
This strengthens the model and reduces future risk.

2. Stress-Test Your Enrollment Assumptions

Model what happens if enrollment comes in 20% below plan. Understanding your downside scenario helps you prepare contingency plans.

This strengthens the model and reduces future risk.

3. Document Your Growth Strategy

Great projections are backed by a clear plan. Document your marketing strategy, enrollment pipeline, and community outreach, as this is the roadmap that turns your numbers into reality.

This strengthens the model and reduces future risk.

Scenario Comparison

The model includes 2 scenarios showing how changes in key assumptions affect Year 5 outcomes.

Scenario	Y5 Revenue	Y5 Net Income	Y5 Margin
Conservative (20% fewer students)	\$316K	\$196K	61.9%
Growth (10% more students, 5% tuition up)	\$452K	\$327K	72.2%

